

Tata Technologies Limited

Initiating Coverage | NSE: TATATECH | Engineering R&D Services

REDUCE	₹520	₹718.55	-27.6%
Rating	Blended target	Current price	Implied return

Investment view

Strategic positioning is attractive, but FY2026 exposed the tension between revenue growth and earnings quality: revenue rose 6.5%, while EBITDA fell 8.7% and PAT declined 19.3%. The current price appears to discount a fast margin recovery.

Core thesis

- Global OEM outsourcing and software-defined vehicles expand the addressable market.
- BMW TechWorks strengthens credentials but execution and utilisation determine earnings conversion.
- A 50/50 blend of FCFF DCF (₹331) and 32x FY2028E EPS (₹709) supports a rounded ₹520 target.

Financial snapshot

₹ crore	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	5,117	5,168	5,506	6,056	6,782
EBITDA	941	934	853	999	1,167
EBITDA margin	18.4%	18.1%	15.5%	16.5%	17.2%
PAT	679	677	547	767	889
EPS (₹)	16.7	16.7	13.5	18.9	21.9

Company & industry positioning

Tata Technologies is a specialist engineering-services and digital transformation partner. Automotive product-development heritage differentiates it from broader IT services peers.

Business model

Area	Role	Investment relevance
Services	Engineering, embedded software and digital manufacturing	Higher-margin primary earnings driver
Technology solutions	PLM software, reselling and education solutions	Adds scale; lower margin
Automotive	Core domain across ICE and EV platforms	Strong credentials; concentration risk
Aerospace & IHM	Diversification adjacencies	Longer cycles; growth option
BMW TechWorks	50:50 software and business-IT JV	SDV proof point

Competitive advantages

- Automotive domain depth across the product lifecycle.
- India-centred engineering talent and global delivery.
- Tata brand and anchor relationships.
- Mechanical, electronics and software integration.

Structural drivers

- Rising software content per vehicle.
- OEM need to shorten development cycles.
- Electrification, connected products and digital twins.
- Aerospace localisation and industrial automation.

Financial performance & forecast

FY2026 revenue reached ₹5,506 crore, but EBITDA declined to ₹853 crore and PAT to ₹547 crore. The base case assumes gradual, not immediate, margin recovery.

Forecast

₹ crore	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	5,117	5,168	5,506	6,056	6,782	7,596	8,432	9,275
EBITDA	941	934	853	999	1,167	1,352	1,535	1,716
Margin	18.4%	18.1%	15.5%	16.5%	17.2%	17.8%	18.2%	18.5%
PAT	679	677	547	767	889	1,019	1,150	1,278
FCFF	—	—	—	613	708	830	930	1,063

Forecast framework

- Revenue growth of 10-12% through FY2029, moderating thereafter.
- EBITDA margin recovers to 18.5% by FY2031.
- Tax normalises to 25.5%; capex stays near 2.2% of revenue.
- Working-capital intensity improves gradually.

Watchpoints

- Organic versus acquired growth.
- Employee cost and utilisation.
- Operating cash conversion and DSO.
- Non-automotive diversification.

Valuation

A blended framework balances DCF cash economics with the market convention of valuing specialist engineering-services companies on forward earnings.

FCFF DCF

Assumption / output	Base case
WACC	11.5%
Terminal growth	5.0%
PV forecast FCFF	₹2,936 crore
PV terminal value	₹9,965 crore
Enterprise value	₹12,902 crore
Equity value	₹13,444 crore
DCF / share	₹331

Blended target

Method	Weight	Value / share	Contribution
FCFF DCF	50%	₹331	₹166
FY2028E P/E (32x)	50%	₹709	₹355
Rounded target	100%	₹520	₹520

DCF sensitivity (₹ / share)

WACC / TGR	4.0%	4.5%	5.0%	5.5%	6.0%
10.5%	342	365	391	423	462
11.0%	318	337	359	385	416
11.5%	296	313	331	353	379
12.0%	278	292	308	326	347
12.5%	262	274	287	303	321

Catalysts, risks & scenarios

The stock's payoff is asymmetric because expectations are high. Evidence of margin recovery can support the premium; modest execution misses can compress both estimates and the multiple.

Catalysts

- BMW TechWorks scales faster than expected.
- Aerospace and IHM wins reduce concentration.
- Utilisation and acquisition synergies lift margins.
- Cash conversion supports distributions.

Risks

- OEM programme delays or pricing pressure.
- Wage inflation and lower utilisation.
- Acquisition integration and amortisation.
- Client concentration.
- High starting valuation.

Scenario framing

Scenario	Operating assumptions	Indicative value
Bull	13-15% growth; 19% terminal margin	₹600-700
Base	10-12% growth; 18.5% FY31 margin	₹520 blended
Bear	6-8% growth; margin near 16%	₹300-380

Monitoring checklist

- Services constant-currency growth.
- EBITDA margin before exceptional items.
- Top-client contribution and new logos.
- Headcount, utilisation and attrition.
- Operating cash flow and DSO.

Appendix: methodology, sources & disclosure

Historical figures use audited consolidated statements. Forecasts are independent estimates from the linked three-statement model. FCFF equals NOPAT plus D&A less capex and change in NWC.

Primary sources

Tata Technologies Annual Report FY2025-26: <https://ttlwebassets.tatatechnologies.com/app/uploads/2026/06/Annual-Report-FY-2025-26.pdf>

Tata Technologies Annual Report FY2024-25: <https://ttlwebassets.tatatechnologies.com/app/uploads/2025/05/Annual-Report-FY-2024-25.pdf>

Market price: <https://www.indmoney.com/stocks/tata-technologies-ltd-share-price>

India 10Y yield: <https://www.investing.com/rates-bonds/india-10-year-bond-yield-historical-data>

ERP reference: <https://pages.stern.nyu.edu/~adamodar/pdfiles/country/val2dayDubai2026.pdf>

Model linkage

Supporting workbook tabs: Cover, Assumptions, 3 Statement Model, DCF, Checks, and Sources & Audit. Editable assumptions are blue; the final model-status check is OK.

Disclosure

Independent educational portfolio project prepared by Ayan Kumar Garg. Not investment advice, an offer, or a solicitation. Public information and prices may change after the valuation date.

Rating definitions

Rating	Definition
BUY	Expected 12-month return above +15%
HOLD	Expected return between -10% and +15%
REDUCE	Expected return below -10%